

PREFACE TO THE SECOND EDITION

The lapse of six years since first publication of this work supplies the excuse, if not the necessity, for the present comprehensive revision. Things happen too fast in the economic world to permit authors to rest comfortably for long. The impact of a major war adds special point to our problem. To the extent that we deal with investment policy we can at best merely hint at the war's significance for the future. As for security analysis proper, the new uncertainties may complicate its subject matter, but they should not alter its foundations or its methods.

We have revised our text with a number of objectives in view. There are weaknesses to be corrected and some new judgments to be substituted. Recent developments in the financial sphere are to be taken into account, particularly the effects of regulation by the Securities and Exchange Commission. The persistence of low interest rates justifies a fresh approach to that subject; on the other hand the reaffirmance of Wall Street's primary reliance on *trend* impels us to a wider, though not essentially different, critique of this modern philosophy of investment.

Although too great insistence on up-to-date examples may prove something of a boomerang, as the years pass swiftly, we have used such new illustrations as would occur to authors writing in 1939–1940. But we have felt also that many of the old examples, which challenged the future when first suggested, may now possess some utility as